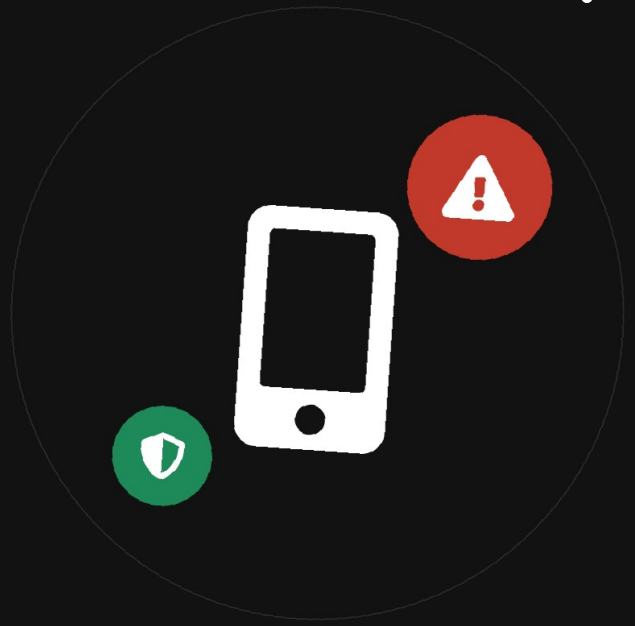
A SOCIAL WORK PROJECT

Digital Loan App Harassment

When a small loan turns into a nightmare



Illegal apps are blackmailing people who just needed quick cash.

Tied to 4 UN Sustainable Development Goals:

- 1 No Poverty
- 8 Decent Work
- 10 Reduced Inequalities
- 16 Peace & Justice

(the solution comes in part two)

The Boom — and Its Dark Side

Everyone wants fast cash. Not everyone checks who's lending it.

- **Instant cash, zero questions**
  Minutes to approve. No real checks.
- **A permissions grab**
  Contacts, photos, SMS — all handed over.
- **Whack-a-mole apps**
  Banned today, reborn tomorrow under a new name.

RBI keeps a list of verified lenders — illegal apps just ignore it.

87

apps blocked by MeitY (Sec. 69A), as of Dec 2025

2,000+

apps pulled from the Play Store

₹19.4 cr

seized by ED in one Hyderabad case, 2024

Problem Statement

Illegal loan apps prey on desperate borrowers — then blackmail them into paying up.



Who is harmed

First-time, low-income borrowers.



What goes wrong

Threats spread to your entire contact list.

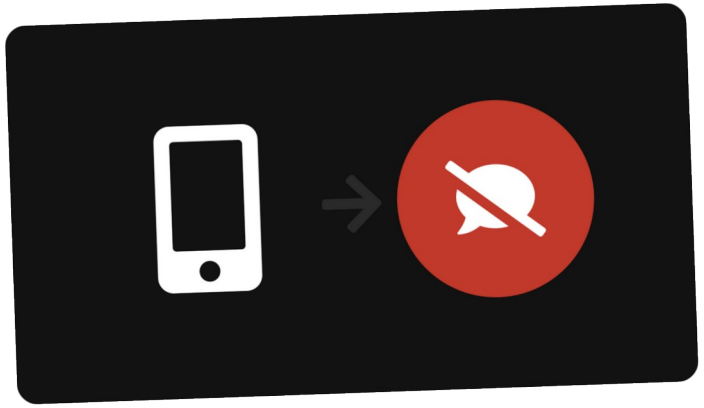


Why it persists

Apps rebrand faster than the law can catch up.

Anatomy of the Trap

One missed payment. A well-rehearsed nightmare.



1

Install & over-permit

Grabs your contacts + photos.

2

Instant, costly credit

Tiny loan, huge interest.

3

Payment falls due

7–15 days. That's it.

4

Recovery turns abusive

Calls. Threats. Repeat.

5

Blackmail escalates

Fake "arrest." Real fear.

The Tactics of Harassment

Recovery “agents” turn your own data into a weapon.

Contact-list blackmail

Your contacts get the ugly texts.

Morphed images

Photos twisted into threats.

Fake legal notices

“Police” call about your “arrest.”

Abusive calls

Odd hours. Ugly language.

Public shaming

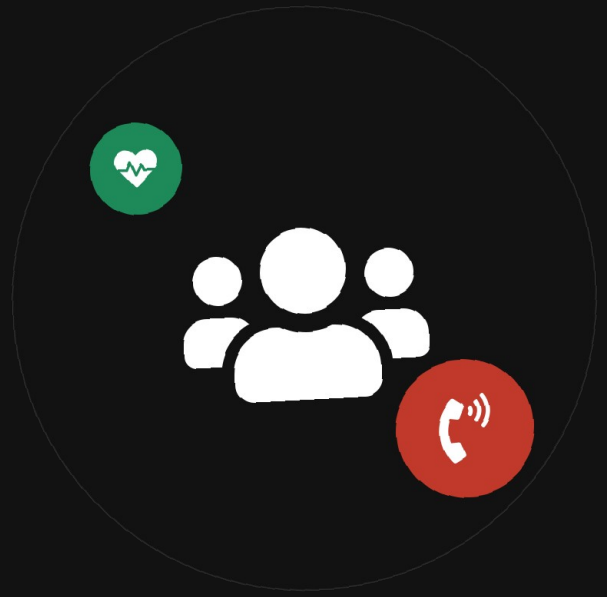
Your face, branded “defaulter.”

Hidden charges

Fees stack until it’s unpayable.

The Human Cost

This isn’t about money. It’s about safety.



Rising crisis

Telangana police alone linked 6–8 suicides to loan-app harassment in two years.

Jobs at risk

Agents call employers directly — over debts as small as ₹2,000.

Families hurt

Shame spreads to everyone the borrower loves.

Source: MeitY/Google Parliament replies, 2024; state police reports, 2021–24.

Why the System Can’t Keep Up

The rules exist. The scammers just move faster.



Apps rebrand fast

New name, same scam — in weeks.



No paper trail

Rented SIMs make agents nearly untraceable.



Nobody knows help exists

Most victims don’t know it’s illegal — or that help (1930) is free.

SDG Spotlight

Four UN goals, all hit by the same scam

1

No Poverty

Traps the poor deeper in debt.

Critical

8

Decent Work

Puts jobs — and trust — at risk.

High

10

Reduced Inequalities

Hits those least able to fight back.

Critical

16

Peace & Justice

Justice moves slower than the scam.

High

Why It's Personal

One scam, four goals undone

1

One bad month shouldn't mean a lifetime of debt.

8

A missed EMI shouldn't cost you your job.

10

The most vulnerable are the easiest targets.

16

Justice is slow. The scam isn't.

Why This Matters

A problem hiding in plain sight



- Bans don’t stick — apps just rebrand.
- Victims are exactly who inclusion should protect.
- Reporting is slow. The harm isn’t.
- We need a fix as fast as the scam.

Up next: an AI-based fix — detection, call blocking, evidence storage, auto-complaints.